

US Media & Telecom

Netflix Inc

Rating

Outperform

Price Target

 **NFLX**

100.00 USD



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NFLX: Key takeaways from 2Q26 streaming webinar - Q2 had some challenges & 2H unlikely an easy one; all eyes on advertising

We hosted a webinar with experts from Parrot Analytics and Puck News to discuss the latest trends in streaming engagement, subscriber dynamics and content performance for 2Q26.

[Replay is available here](#), please reach out for the full deck. **Four key takeaways:**

The World Cup exacerbated seasonally softer Q2 engagement. 1H26 total engagement is estimated at under 96B hours — above the weak-slate 1H25 but below the strong-slate 2H25. The more notable signal was that Q2 didn't follow the usual seasonal pattern: rather than the typical spring-to-summer upswing, engagement kept declining into June as the World Cup pulled a meaningful share of eyeballs away from Netflix (and other streaming platforms as well). This pressure reinforces why live sports and event programming matter strategically, a thesis Netflix is already leaning into and reportedly extending further, with the company said to be [in talks](#) for 2030 World Cup rights.

The World Cup drag is directly affecting subscriber growth, with soft 1H26 net adds tracking below 1H25 and 1H24 levels. This softness puts pressure on the high end of Netflix's 2026 revenue guide of 12-14% growth, which implicitly assumes roughly ~20M net adds for the year alongside the March price increases and ~\$3B in expected advertising revenue. Reaching that full-year subscriber target now requires a meaningful 2H reacceleration from an already-soft starting point, and/or >\$3B advertising revenue.

The 2H26 content slate doesn't offer an obvious catalyst to drive that reacceleration. Headline returning titles — *Lupin*, *Emily in Paris*, *Avatar: The Last Airbender* — screen weaker on projected engagement than the franchise hits that fueled 2H25 and 2H24 net adds (*Squid Games*, *Stranger Things*, *Wednesday*), implying revenue growth may have to lean more on advertising upside than on a breakout title to reach the top end of guidance. *Summary continues on the next page...*

Investment Implications

We maintain our Outperform rating for NFLX with a PT of \$100 - unchanged.

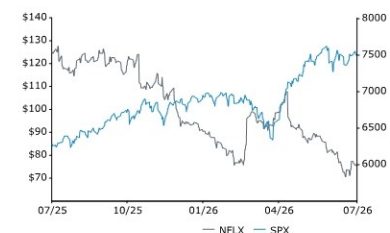
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
NFLX (USD)	2.53	3.15	3.83	EBITDA (M)	13,660	16,721	19,863	--	Adjusted P/E (x)	29.9	24.0	19.7
				Revenues (M)	45,183	51,329	57,434	--	EV/EBITDA (x)	23.6	19.3	16.2
				EBIT (M)	13,327	16,341	19,449	--	EV/EBIT (x)	24.2	19.8	16.6

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	8 Jul 2026			
NFLX Close Price (USD)	75.59			
Price Target (USD)	100.00			
Upside/(Downside)	32%			
52-Week Range	129.33/70.86			
SPX	7,482.71			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	318,294			
EV (USD) (M)	322,748			
Performance	YTD	1M	6M	12M
Absolute (%)	(19.4)	(8.5)	(16.5)	(40.7)
SPX (%)	9.3	1.0	8.1	20.2
Relative (%)	(28.7)	(9.6)	(24.6)	(60.9)
Source: Bloomberg, Bernstein estimates and analysis.				

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Summary continued...

Structurally, engagement per subscriber remains under pressure — a trend we've discussed before — and it's driving Netflix to invest more broadly and diversify across content types. Faster-decaying library content means Netflix needs to continue adding volume to sustain engagement, while returning seasons, though unexpectedly underperforming their prior installment, remain a core retention tool that Netflix is leaning on heavily (a large share of the 2026 slate is returning seasons). The trade-off is cost: sequels get progressively more expensive, international content is no longer the cheap lever it once was (at least not as cheap as before), and Netflix (and others) still needs to keep building new franchises alongside all of these to keep feeding the content pipeline.

RELEVANT RECENT NOTES

8 Jul 2026 - [NFLX Q2: More than a quarter - key debates heading into the print](#)

7 Jul 2026 - [US Media: The cost of growth - the return of rising content spend](#)

23 Jun 2026 - [Netflix: At 52-lows, we expect continued near-term volatility](#)

4 Jun 2026 - [Netflix: Messy Near-Term Narrative, but a Durable Engine](#)

22 May 2026 - [Weekend Media Blast: The Battle of 16:9 vs 9:16](#)

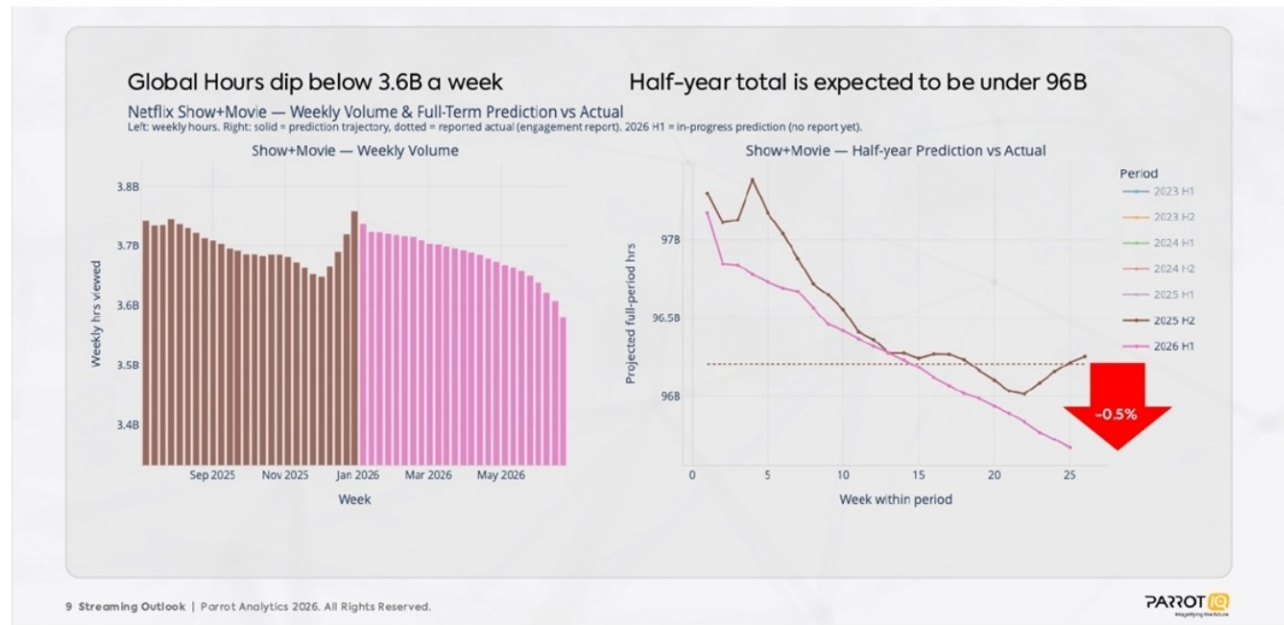
WORLD CUP DISRUPTS SEASONAL ENGAGEMENT PATTERN

Total 1H26 engagement is tracking below 96B hours, landing between last year's 1H and 2H. Netflix's global hours watched are projected to come in just under 96B for 1H26, roughly -0.5% versus 2H25 and +0.5% versus 1H25. This places 1H26 between a strong 2H25, which benefited from a robust content slate, and a weaker 1H25, which suffered from a thinner slate — suggesting total 1H26 engagement hours did not meaningfully grow despite some subscriber growth ([Exhibit 1](#), [Exhibit 2](#)).

Weekly hours watched declined steadily through the first half, with a sharp drop into June due to the FIFA World Cup. Engagement typically eases through the spring months following a strong holiday viewing season, but 2026 saw declines extend further and steepen heading into June, breaking from the normal seasonal pattern. Summer is usually a seasonal pickup period (as children are out of school etc.) but this year's June instead saw engagement decline further rather than recover. This steeper-than-normal June decline can be directly attributed to the start of the FIFA World Cup in North America. This year's tournament expanded to over 45 participating countries (up from 32 in 2022) with significantly more matches than prior editions (40 more games), creating direct competition for viewing time. Looking at engagement across individual countries, the majority of World Cup participating countries saw Netflix engagement decline versus both May 2026 and June 2025 ([Exhibit 3](#)).

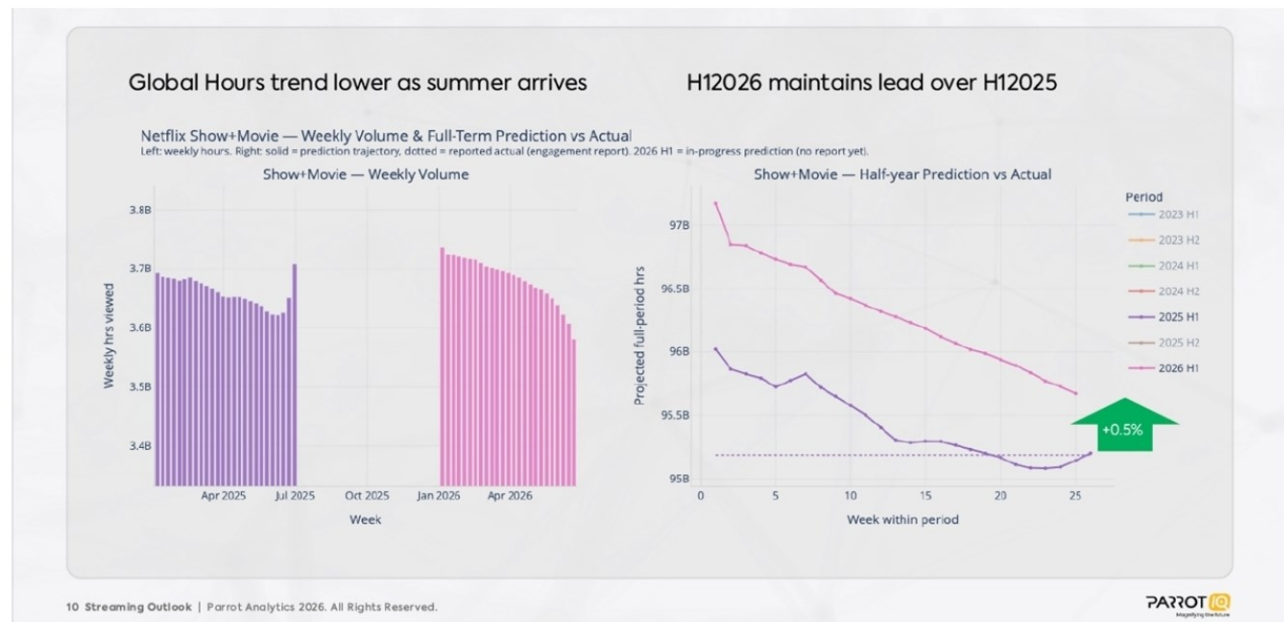
This engagement pressure reinforces the growing strategic importance of sports and live programming. Netflix has already been increasing investment in this area (NFL, MLB, WWE, Boxing etc.), as data supports that sports programming has historically delivered more stable, resilient engagement than scripted content over time. This isn't isolated to Netflix — other major media and long-form platforms are increasingly recognizing the value of live sports rights — [CNBC reports that](#) Netflix, Disney & YouTube are exploring rights packages for the 2030 or 2034 World Cup, underscoring how seriously streaming and digital platforms now view live sports as core to retention and engagement strategy

EXHIBIT 1: Engagement is expected to be under 96B hours in 1H26, lower than 2H25, which had a strong content slate

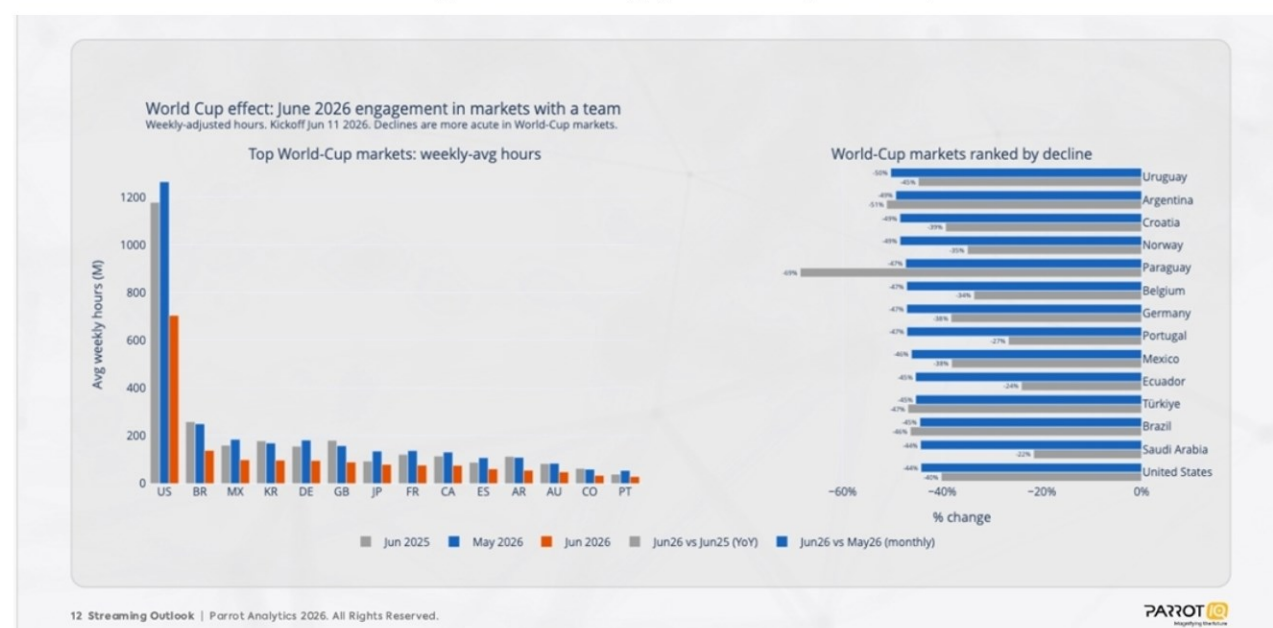


Source: Parrot Analytics

EXHIBIT 2: Netflix experienced declining engagement in Q2, and did not experience the seasonal increase in June due to WC26 headwind. However, total 1H26 engagement was comparable to 1H25 (which had a weak content slate)



Source: Parrot Analytics

EXHIBIT 3: **WC2026 has led to a meaningful decline in engagement in key World Cup markets**

Source: Parrot Analytics

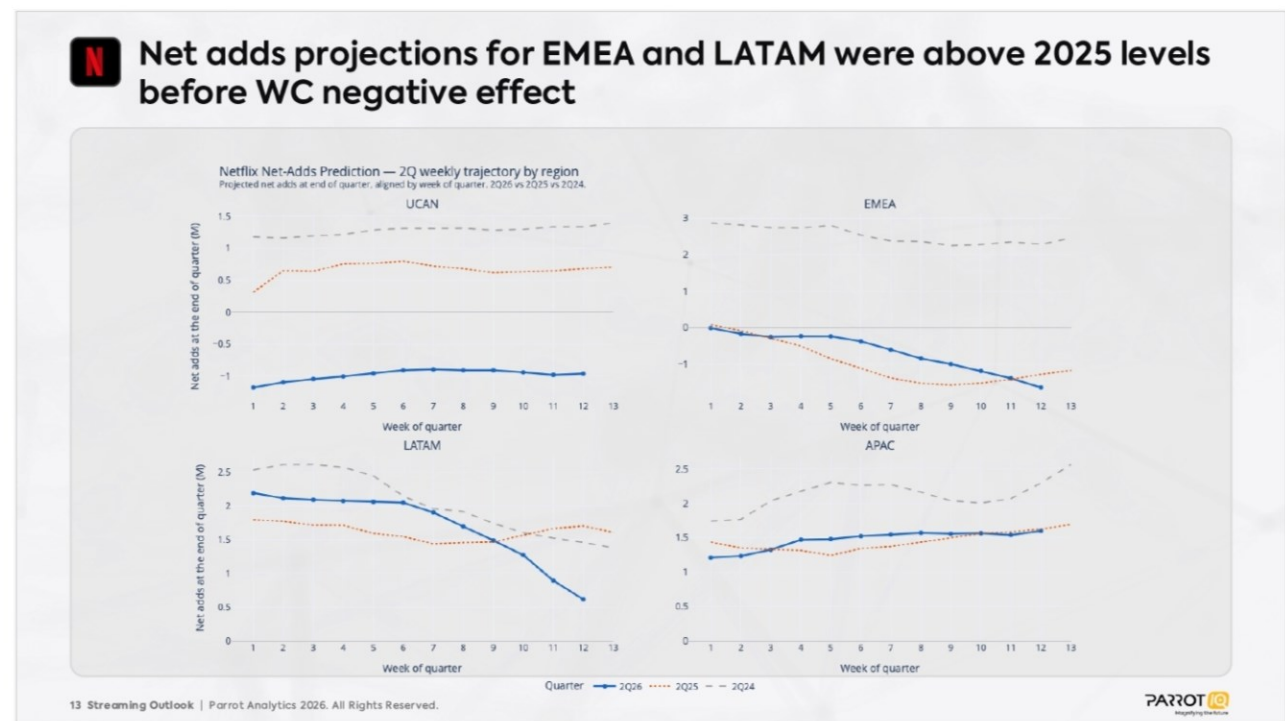
SUBSCRIBER NET ADDS UNDER PRESSURE FROM WORLD CUP, WITH LIMITED 2H CATALYSTS FOR REACCELERATION

World Cup-related engagement pressure is translating into soft 1H26 subscriber growth, with net adds tracking to just roughly 3-4M for the first half. LATAM and EMEA net adds forecasts deteriorated around the same time as the World Cup's kickoff — as viewers redirected attention away from Netflix. Even so, churn has remained notably low even in softer markets, suggesting existing subscribers still view Netflix as a "primary service" they'll return to.

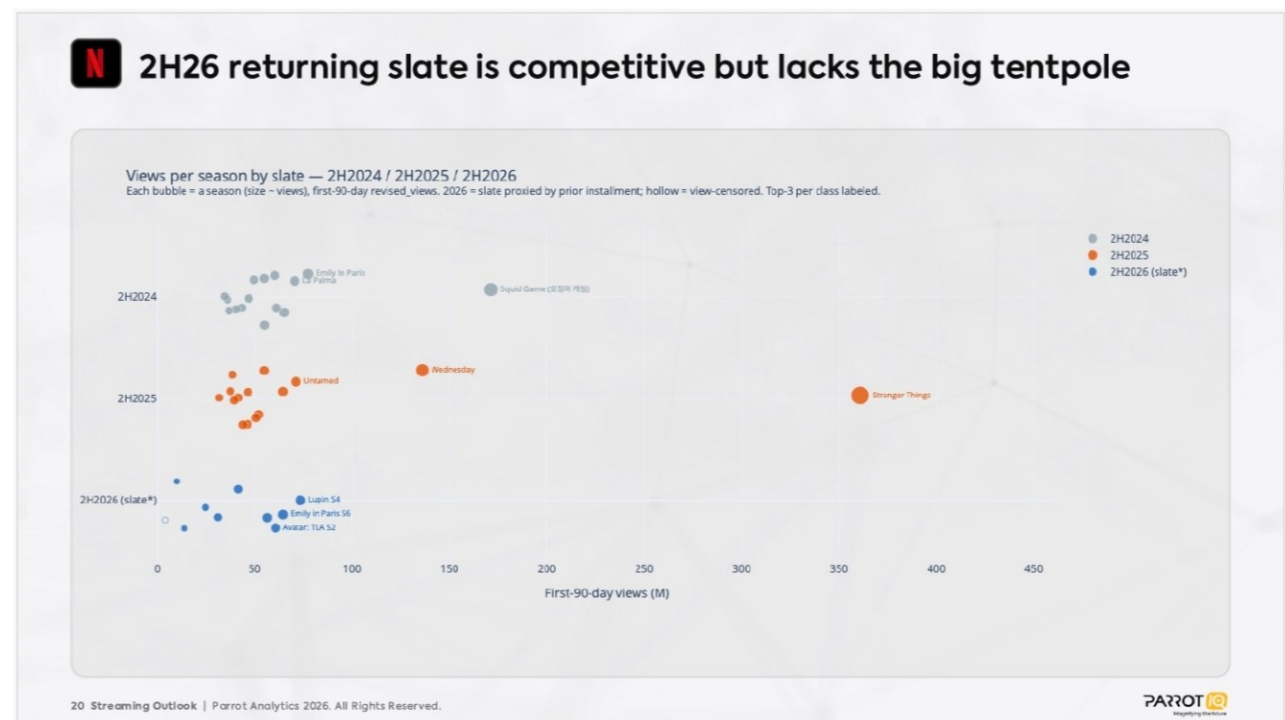
This soft start creates risk to reaching the high end of Netflix's 2026 revenue guide. As we noted in our [NFLX 2Q26 preview](#), the top end of the 12-14% revenue growth guidance implicitly assumes roughly 7% subscriber growth for the year, or net adds in the high-teens-to-~22M range, alongside the March price increases and an expected ~\$3B in advertising revenue. With only 3-4M net adds tracked through 1H, Netflix would need a meaningful reacceleration in 2H to still hit the full year target — a bar that looks increasingly difficult given current trends.

The 2H26 content slate doesn't offer notable catalyst to drive that reacceleration. Comparing projected first-90-day views for 2H26's headline titles — *Lupin S4*, *Emily in Paris S5*, and *Avatar: The Last Airbender S2* — against last year's Wednesday and Stranger Things, or Squid Game S2 the year before, the upcoming slate screens weaker apples-to-apples. The prior-year hits were instrumental in driving strong Q3/Q4 net adds, and this year's 2H slate is unlikely to fully replicate 2025's 2H engagement lift.

Live sports and advertising could still provide upside, but visibility remains limited. The addition of NFL games to Netflix's live-event slate, along with the possibility of advertising revenue outperformance, represent two swing factors that could help offset softer subscription-driven growth in the first half of the year. However, without a new structural catalyst — such as the password-sharing crackdown in prior years — it's not reasonable to assume Netflix can outrun the World Cup-related headwind through organic acceleration alone.

EXHIBIT 4: **Subscriber growth in Q2 lags prior years**

Source: Parrot Analytics

EXHIBIT 5: **2H26's content slate is projected to be weaker vs 2H25 which may not lead to as much of an engagement lift as needed to offset 1H headwinds**

Source: Parrot Analytics

FLAT TO DECLINING PER SUBSCRIBER ENGAGEMENT

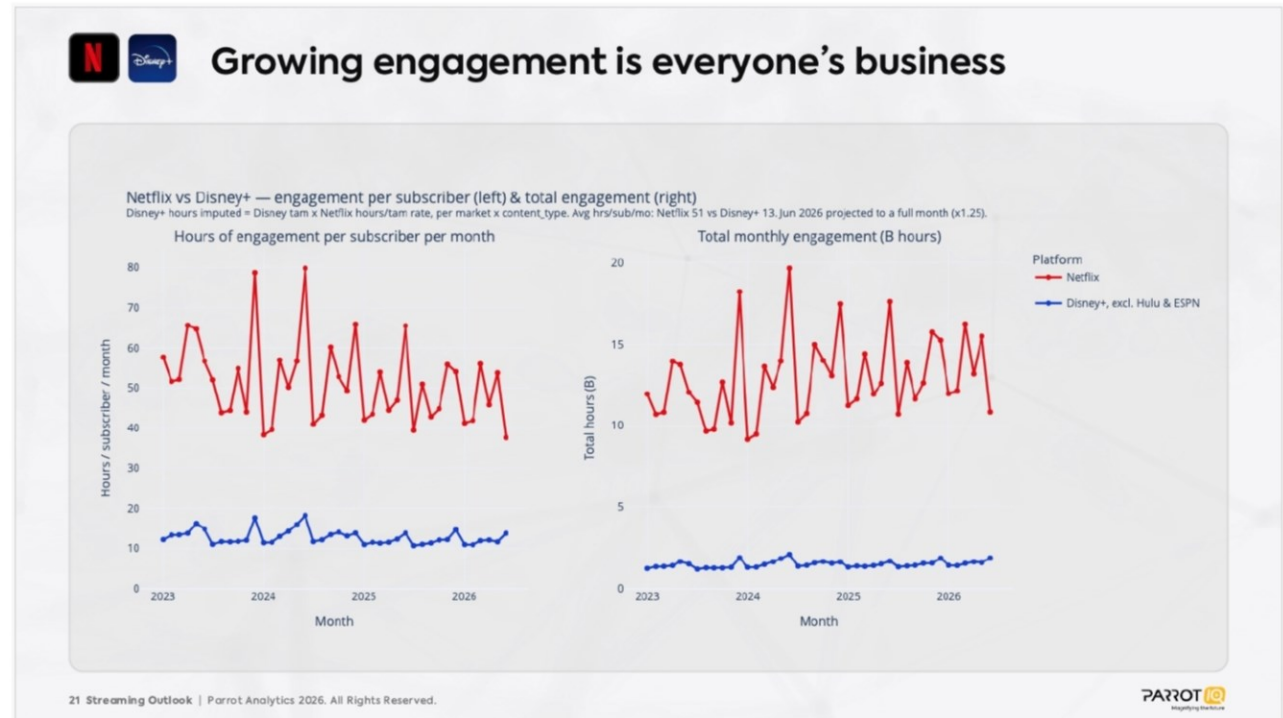
Engagement per subscriber has been roughly flat to slightly declining over the past several years (a topic we've discussed [in depth](#)), pushing Netflix to continue increasing content investment to hold the line ([Exhibit 6](#)). Although Netflix still leads the industry on highest engagement— averaging ~51 hours per subscriber per month versus Disney+'s ~13 hours — the multi-year trend shows engagement intensity per user isn't meaningfully growing, meaning incremental subscriber growth increasingly has to come from adding more hours of content rather than users simply watching more.

Library content now drives the majority of hours, but its decay curve is steepening. Library titles have grown from roughly half of total hours in 1Q23 to about 63% by 2Q26, yet successive additions of library content are decaying faster than prior years' cohorts once titles clear the initial release window. Because per-title engagement is shrinking over time, Netflix has to keep expanding the volume of both owned and licensed content available on the platform just to support total library hours ([Exhibit 7](#)).

Returning seasons underperform their prior installment, but their predictability still makes them a core retention tool — one that's getting steadily more expensive. Data across recent franchise sequels (*Squid Game*, *You*, *The Night Agent*, *Bridgerton*) consistently shows new seasons landing below their predecessor's first-90-day engagement, reflecting natural franchise fatigue rather than anything Netflix-specific — the same pattern has long existed in broadcast and cable television. Despite this fatigue, returning seasons still offer more reliable, lower-risk engagement than new originals, and supports Netflix's own upfront commentary indicating that the majority of its 2026 TV slate would be returning seasons. The trade-off is cost: each season tends to get more expensive than the last, and Netflix is compelled to keep developing new franchises in parallel to avoid becoming overly reliant on aging IP ([Exhibit 8](#)).

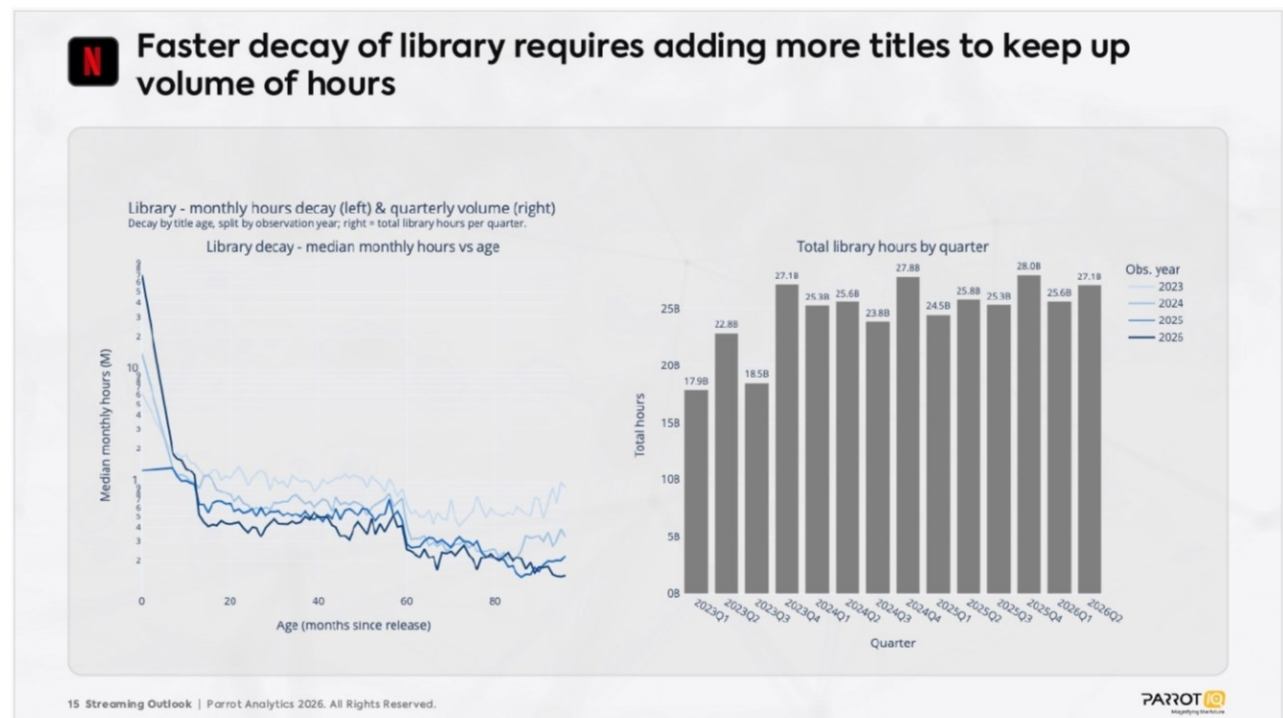
International content is playing a larger role in sustaining library engagement, but it's also becoming more expensive as competition for premium licenses intensifies. Netflix has meaningfully expanded its licensing footprint in recent quarters — adding more non-English titles— and this expanded international library content is a real contributor to the library-hours growth discussed above. But as this content increasingly proves it can travel and drive engagement, licensing costs for these titles are rising as well, meaning the "cheaper" international content strategy is becoming less of a cost offset than it once was.

EXHIBIT 6: Even though Netflix leads the industry in engagement, flat-to-declining per sub engagement trends have led to the need to increase content investment



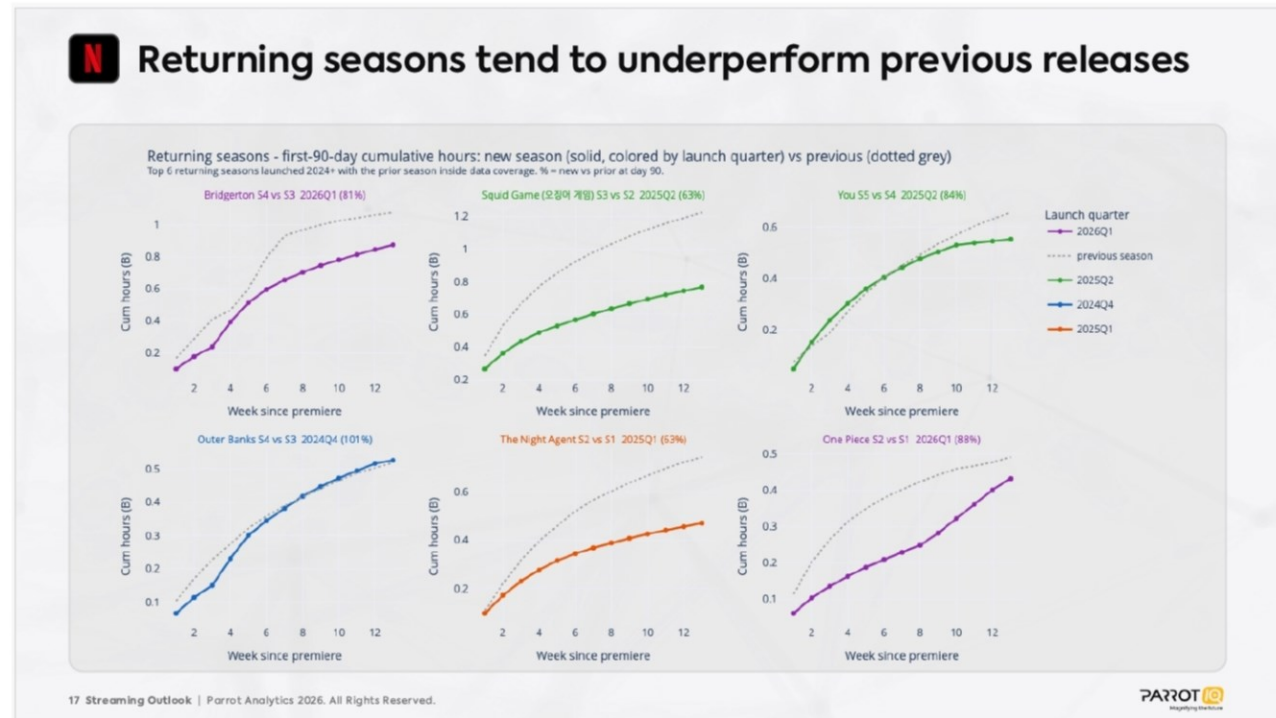
Source: Parrot Analytics

EXHIBIT 7: Library titles have begun to decay faster, prompting Netflix to add more titles sooner to keep up with the engagement it drives



Source: Parrot Analytics

EXHIBIT 8: Although returning seasons underperform previous releases, they still are still a predictable driver of engagement



Source: Parrot Analytics

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 9: NFLX Financial Summary

in millions except per share and percentage data

NFLX	1Q26	2Q26E	3Q26E	4Q26E	FY2025	FY2026E	FY2027E
GAAP INCOME STATEMENT							
Revenue	12,250	12,547	12,986	13,546	45,183	51,329	57,434
Cost of Revenue	5,888	6,150	6,451	6,843	23,275	25,332	27,459
Marketing expense	842	788	845	1,208	3,301	3,683	4,027
Technology and development	960	934	911	946	3,391	3,751	4,081
General and administrative	603	565	517	539	1,888	2,223	2,418
Total Expenses	8,293	8,436	8,723	9,536	31,856	34,988	37,986
EBIT	3,957	4,112	4,263	4,009	13,327	16,341	19,449
D&A	99	91	94	98	333	381	415
EBITDA	4,056	4,202	4,357	4,107	13,660	16,721	19,863
Other Expenses (Benefits)	-1,326	696	885	671	2,345	926	3,296
Net Income	5,283	3,415	3,378	3,338	10,981	15,414	16,152
Weight Avg. Diluted Shares	4,298	4,283	4,268	4,253	4,344	4,276	4,216
GAAP EPS (Diluted)	1.23	0.80	0.79	0.78	2.53	3.60	3.83
Adj. EPS (Diluted)	0.78	0.80	0.79	0.78	2.53	3.15	3.83
GAAP Margins:							
Gross Margin	52%	51%	50%	49%	48%	51%	52%
EBIT Margin	32%	33%	33%	30%	29%	32%	34%
EBITDA Margin	33%	33%	34%	30%	30%	33%	35%
Y/Y Growth (GAAP):							
Revenue	16%	13%	13%	12%	16%	14%	12%
BALANCE SHEET & CASH FLOW							
Cash and Cash Equivalents	12,260	14,589	15,336	16,687	9,034	16,687	23,518
Content assets, net	33,376	33,376	34,098	34,498	32,778	34,498	36,437
Property and equipment, net	2,148	2,234	2,323	2,415	2,004	2,415	2,809
All other	13,232	12,030	12,425	13,117	11,781	13,117	14,834
Total Assets	61,016	62,229	64,181	66,717	55,597	66,717	77,598
Streaming content liabilities	5,679	5,679	5,679	5,679	5,664	5,679	5,679
All other	24,211	23,295	23,151	23,625	23,317	23,625	24,679
Total Liabilities	29,890	28,974	28,830	29,304	28,982	29,304	30,358
SBC-Adj. FCF	4,954	3,615	2,029	2,628	9,093	13,226	13,156
SBC-Adj. FCF Margin	40%	29%	16%	19%	20%	26%	23%

Source: Company reports, Bernstein estimates & analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	8 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
NFLX (Netflix)	O	USD	75.59	100.00	(60.9)%	USD	2.53	3.15	3.83	29.9	24.0	19.7
SPX			7,482.71									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY**Netflix Inc**

We value NFLX's shares at an implied 26x multiple (rounded) on FY27 EPS estimates of \$3.83 (PT of \$100). Two key assumptions are '27E EPS of \$3.83 and 26x (rounded) EPS multiple.

RISKS**Netflix Inc**

Downside risks: - AVOD does not lift ARM in UCAN as much as expected. Digital advertising may not recover as quickly or as strongly as we modeled which could lead to lower ARM, particularly in UCAN. Netflix could lose subscribers as streaming gets increasingly competitive. Streaming is getting increasingly competitive with big tech investing more in the space. Competition from social platforms with user generated content. Short form videos are taking users eyeballs, which could have a long term impact on engagement.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

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DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

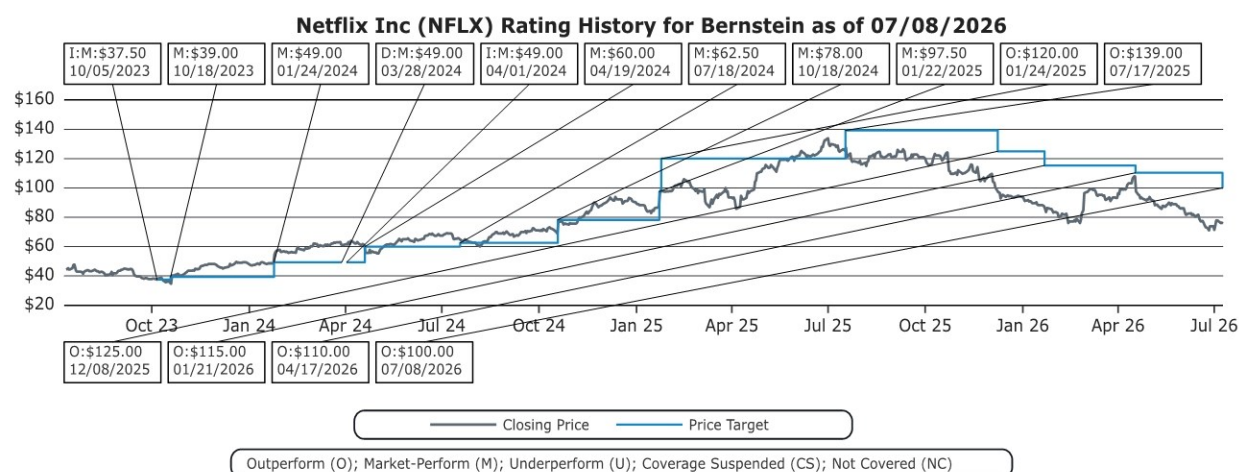
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Netflix Inc.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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